CB FP&A Meeting_Initiatives and Updates

Feb 11, 2025

Agenda

- **CB Performance update**
- **Key Initiatives Updates**
  - CB P&L Projection Accuracy Improvement Initiatives
  - All BU: Shopee CB Foregone Revenue Summary
  - Marketplace P&L: Mall commission charge rate review and proposal
  - SLS P&L: Alert on TH tax cost occuring and BR tax cost overcharge
  - Choice P&L: breakeven risk with platform fees increase
  - Warehouse P&L debrief on budgeting

[Jan'25 Actuals]: CB ADO at 3.0mil, with EBITDA at +9.2mil; Lovito/SCS ADO overperformed with a standalone PnL of -2.0mil

Table: Jan'25 P&L breakdown by BUs

Jan'25 CB combined P&L USD			1P + Consignment			Marketplace			Total CB		
			Actuals	Target	vs Target	Actuals	Target	vs Target	Actuals	Target	vs Target
Topline		ADO	325,327	271,462	1 120%	2,626,803	2,537,939	104%	2,952,130	2,809,401	1 105%
		ADO% of CB	11%	10%	1.4%	89%	90%	-1.4%	100%	100%	-
		ADO% of Platform	1.1%	0.9%	0.2%	9.1%	8.8%	0.2%	10.2%	9.8%	0.4%
		ADGMV	1,418,590	1,292,353	110%	20,667,844	19,687,314	105%	22,086,433	20,979,667	1 105%
		ABS	4.4	4.8	-0.4	7.9	7.8	0.1	7.5	7.5	0.0
P&L	I: MP	Revenue Take Rate	13.6%	13.3%	0.4%	13.6%	12.6%	1.0%	13.6%	12.7%	0.9%
		CIR%	-21.7%	-18.7%	-2.9%	-11.0%	-11.1%	0.1%	-11.7%	-11.5%	-0.1%
		MP PC1%	-8.0%	-5.5%	-2.5%	2.6%	1.5%	1.1%	1.9%	1.1%	0.8%
		MP PC2%	-9.1%	-6.6%	-2.5%	1.6%	0.5%	1.0%	0.9%	0.1%	0.8%
		MP PC2	-4,006,386	-2,641,064	-1,365,322	10,110,325	3,241,118	3 6,869,207	6,103,939	600,054	5,503,885
	II: SLS	SLS PnL	-159,999	-152,319	-7,680	24,172,026	22,323,689	1,848,337	24,012,027	22,171,370	1,840,657
	III: Standalone	Seller P&L	-1,964,474	-2,645,752	2 681,278	-	-	-	-1,964,474	-2,645,752	681,278
	Combined MP PC2+SLS+Standalone		-6,130,859	-5,439,135	-691,724	34,282,352	25,564,807	8,717,545	28,151,493	20,125,672	8,025,820
	Combined MP PC2+SLS+Standalone%		-13.9%	-13.6%	-0.4%	5.4%	4.2%	1.2%	4.1%	3.1%	1.0%
	Management EBITDA		-7,761,363	-6,892,324	-869,039	16,911,547	8,681,825	3 8,229,722	9,150,184	1,789,501	7,360,683
	Management EBITDA %		-17.6%	-17.2%	-0.4%	2.6%	1.4%	1.2%	1.3%	0.3%	1.1%

Actuals yet closing for Choice and SLS, preliminary data

Actuals as of 2/7

Note: TH SLS profit excluded tax revenue and additional tax cost in both budget and actuals

Key Highlights:

Topline:

1 Overall CB ADO runrate at 105% and ADGMV runrate at 105%, Choice order runrate 120% mainly driven by PID boosting recovery in SCS

P&L: +8.0mil vs Target

2 **Lovito/SCS Standalone: +0.7mil vs target**: **SCS:** +0.7mil vs target due to lower fixed cost per order, driven by higher ADO RR

3 **Marketplace**: **+8m vs target**

- **MP**: PC2 +7mil, +0.3mil from topline; +6m from higher TR due to CNY impact to G2N and ads investment are higher than expected; +0.6mil from CIR
- **SLS**: +1.8mil vs target: 1)**VN**: Lower LH cost from lower quotation and weight, 2)**PH**:Lower CC cost and Lower LM cost from XDD growth in zone with lower rate, 3) **BR**: lower LM rate

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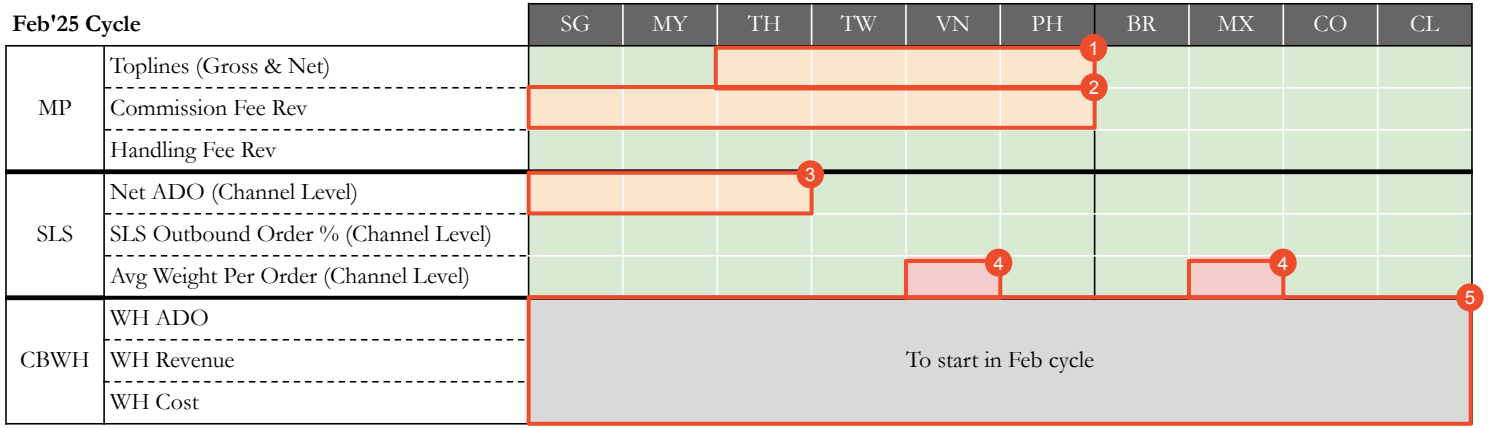
CB Projection Accuracy & Initiatives: (1) To align on CBWH ownership (2) Continue monitoring assumptions in budget cycle (3) Tighten EOM projection accuracy with internal model & tracking

Projection	Sub Initiatives	Progress Details	PIC	ETA
Monthly Budget	A Local FP&A ownership	**MP/SLS:** Highlighted areas for improvements to local team, **require monitoring in upcoming budget cycle** and continue to track accuracy **Warehouse P&L: To align with local teams on CBWH ownership.** (1) CB FP&A to guide locals for CBWH this upcoming cycle (2) Locals to project subsequent cycle	CB FP&A Local F&A	Q1 2025
	B Monthly Scorecard Issue Call out	**MP:** Jan'25 **+12%** (vs. +6% in Dec) - SG/TH/VN/PH *(Details in following slide)* **SLS:** Jan'25 **+10%** (vs. +10% in Dec) - MY/VN/PH *(Details in following slide)* **Warehouse P&L:** Pending actuals **Choice P&L:** Pending actuals **To ensure local team account for inaccuracies in upcoming budget cycle**	CB FP&A	Q1 2025
New Weekly EOM Projection	Local FP&A ownership	**MP Projection:** from local FP&A already, issues with GTF projection inaccurate **Warehouse P&L: To align with local teams on CBWH ownership** • [Aligned] SG/MY/PH: Local aligned to provide full projections • [Aligned] TH: Local provide ADO projections, Revenue/Cost from CBBI • [To align] VN: Local provide ADO projections, Revenue/Cost from CBBI	CB FP&A Local F&A Local WH	Feb 2025
	C Weekly Projection Accuracy & Fluctuation	**To monitor EOM projections accuracy vs. actuals:** (1) CB FP&A to build weekly projection tracking dashboard (2) Request for **daily projections**, flag out early if daily trend is highly inaccurate (3) CB BI to build internal projections as sense check	CB FP&A	Feb 2025

A. Local Ownership Shift | Cooperative to provide projections despite short turnaround from upstream platform delays; to take note of certain areas for upcoming budget cycle



On Track
<1 day delay
<1 day delay

Key Highlights: **All countries were cooperative despite tight timeline from upstream delays. Given that it's their first attempt to project MP/SLS metrics, there were some areas for improvement:**

[MP Revenue]

1. G2N assumption require refinement
2. Some commission fee assumption changes were not factored in
   - MY/TH/PH: 2% commission waiver for Choice not accounted for (All revised)
   - SG (MYSG direct)/TH: Upcoming commission increase not fully reflected (TH yet revised, to factor in next cycle)

[SLS P&L]

3. Channel level orders mismatched with overall BU level
4. > 1 day delay to provide weight projections (e.g. MX revision due to tax impact)

Next Steps:

- To inform local of past over/under achievements and factor within upcoming cycles, and continue to ensure that assumptions are robust
5. Local team to onboard CBWH P&L projection this upcoming cycle, with the guidance from CB FP&A and Reg LFF team

B. [SEA + TW] L6M CB Scorecard Accuracy | MP Revenue mostly underprojected, while SLS P&L accuracy slight improvement vs. L3M, but certain functions still have room for improvement.. (1/2)

Table 1: Last 6M CB **MP Revenue** by function accuracy performance

BU	Components	Above Threshold	% vs. Budget Aug'24	Sep'24	Oct'24	Nov'24	Dec'24	Jan'25	
SG	CB Revenue	Yes	↑ 13%	↑ 14%	↑ 18%	↑ 18%	↑ 11%	↑ 12%	
	Driven by Platform GMV	Yes	↑ 8%	↑ 14%	↑ 8%	↑ 10%	↑ 5%	↑ 2%	1
	Driven by CB GMV	No	↑ 3%	↓ 1%	↑ 4%	↑ 1%	↑ 3%	↑ 4%	
	Driven by Ads	No	↑ 2%	↓ 0%	↑ 4%	↑ 7%	↑ 2%	↑ 4%	
	Others (G2N, NCB)	No	↑ 1%	↑ 1%	↑ 2%	↑ 1%	↑ 1%	↑ 2%	
MY	CB Revenue	Yes	↑ 9%	↑ 12%	↑ 13%	↑ 15%	↑ 12%	↑ 3%	
	Driven by Platform GMV	No	↑ 1%	↑ 7%	↑ 8%	↑ 1%	↑ 1%	↓ 2%	
	Driven by CB GMV	No	↑ 5%	↑ 3%	↑ 7%	↑ 10%	↑ 6%	↓ 0%	1
	Driven by Ads	No	↓ 2%	↓ 1%	↓ 2%	↑ 2%	↓ 0%	↑ 3%	
	Others (G2N, NCB)	No	↑ 5%	↑ 3%	↑ 2%	↑ 1%	↑ 5%	↑ 3%	
TH	CB Revenue	Yes	↑ 14%	↑ 6%	↑ 4%	↑ 19%	↑ 11%	↑ 17%	
	Driven by Platform GMV	Yes	↑ 1%	↑ 8%	↑ 18%	↑ 8%	↑ 8%	↑ 5%	2
	Driven by CB GMV	No	↑ 9%	↓ 2%	↓ 10%	↑ 3%	↓ 4%	↑ 3%	
	Driven by Ads	No	↑ 0%	↑ 2%	↓ 1%	↑ 2%	↑ 1%	↑ 2%	
	Others (G2N, NCB)	No	↑ 3%	↓ 2%	↓ 2%	↑ 6%	↑ 6%	↑ 8%	
TW	CB Revenue	Yes	↓ 10%	↑ 7%	↑ 11%	↑ 7%	↑ 7%	↑ 17%	
	Driven by Platform GMV	No	↓ 4%	↓ 1%	↑ 1%	↓ 2%	↓ 2%	↓ 1%	
	Driven by CB GMV	Yes	↓ 2%	↑ 8%	↑ 10%	↑ 8%	↑ 20%	↑ 15%	3
	Driven by Ads	No	↓ 1%	↓ 0%	↑ 3%	↑ 3%	↓ 0%	↑ 1%	
	Others (G2N, NCB)	No	↓ 4%	↑ 0%	↓ 2%	↓ 3%	↓ 10%	↑ 2%	
VN	CB Revenue	No	↓ 1%	↓ 2%	↑ 3%	↑ 4%	↑ 2%	↑ 14%	
	Driven by Platform GMV	No	↑ 4%	↓ 1%	↑ 1%	↑ 3%	↑ 2%	↓ 4%	
	Driven by CB GMV	No	↓ 0%	↓ 0%	↑ 6%	↑ 1%	↑ 5%	↑ 6%	
	Driven by Ads	No	↓ 7%	↓ 2%	↓ 5%	↑ 1%	↓ 0%	↑ 1%	
	Others (G2N, NCB)	No	↑ 2%	↑ 1%	↑ 1%	↓ 1%	↓ 4%	↑ 10%	
PH	CB Revenue	Yes	↑ 10%	↑ 14%	↑ 10%	↑ 18%	↑ 12%	↑ 18%	
	Driven by Platform GMV	No	↓ 0%	↓ 0%	↑ 1%	↑ 1%	↑ 4%	↑ 2%	
	Driven by CB GMV	Yes	↓ 4%	↑ 14%	↑ 10%	↑ 16%	↑ 12%	↑ 11%	3
	Driven by Ads	No	↑ 9%	↓ 1%	↓ 3%	↑ 0%	↓ 2%	↑ 1%	
	Others (G2N, NCB)	No	↑ 5%	↑ 2%	↑ 1%	↓ 0%	↓ 2%	↑ 4%	

Table 2: Last 6M CB **SLS P&L** by function accuracy performance

BU	Components	Above Threshold	% vs. Budget Aug'24	Sep'24	Oct'24	Nov'24	Dec'24	Jan'25	
SG	SLS P&L	No	↑ 3%	↑ 18%	↑ 10%	↑ 1%	↑ 17%	↑ 0%	
	Driven by CB ADO	Yes	↑ 12%	↑ 7%	↑ 4%	↑ 2%	↑ 8%	↑ 11%	1
	Driven by SLS Outbound Ratio to ADO	No	↓ 4%	↑ 0%	↑ 2%	↓ 1%	↓ 1%	↓ 0%	
	Driven by SLS FX neutral UE projection	Yes	↓ 7%	↑ 5%	↑ 0%	↑ 8%	↑ 16%	↓ 6%	1
	Driven by FX projection	No	↑ 3%	↑ 7%	↑ 4%	↓ 8%	↓ 7%	↓ 4%	
MY	SLS P&L	Yes	↑ 8%	↑ 24%	↑ 28%	↑ 9%	↑ 15%	↓ 11%	
	Driven by CB ADO	Yes	↑ 1%	↑ 6%	↑ 20%	↑ 19%	↑ 10%	↓ 15%	2
	Driven by SLS Outbound Ratio to ADO	No	↓ 3%	↓ 3%	↓ 3%	↑ 0%	↑ 2%	↑ 0%	
	Driven by SLS FX neutral UE projection	No	↑ 4%	↑ 3%	↓ 1%	↑ 8%	↑ 12%	↑ 5%	
	Driven by FX projection	Yes	↑ 7%	↑ 17%	↑ 13%	↓ 17%	↓ 8%	↓ 2%	
TH	SLS P&L	Yes	↑ 8%	↑ 46%	↑ 66%	↑ 15%	↑ 12%	↑ 2%	
	Driven by CB ADO	No	↓ 0%	↑ 8%	↑ 15%	↑ 16%	↓ 2%	↓ 4%	2
	Driven by SLS Outbound Ratio to ADO	No	↓ 5%	↓ 1%	↑ 3%	↑ 0%	↑ 6%	↓ 6%	
	Driven by SLS FX neutral UE projection	Yes	↑ 4%	↑ 24%	↑ 32%	↑ 11%	↑ 11%	↑ 13%	
	Driven by FX projection	Yes	↑ 8%	↑ 14%	↑ 15%	↓ 12%	↓ 2%	↓ 0%	
TW	SLS P&L	Yes	↓ 15%	↑ 29%	↑ 11%	↑ 5%	↑ 8%	↑ 64%	
	Driven by CB ADO	No	↓ 11%	↑ 4%	↑ 4%	↓ 4%	↓ 3%	↑ 3%	
	Driven by SLS Outbound Ratio to ADO	No	↓ 1%	↑ 2%	↓ 6%	↓ 7%	↓ 2%	↓ 4%	
	Driven by SLS FX neutral UE projection	Yes	↓ 1%	↑ 14%	↑ 10%	↑ 19%	↑ 19%	↑ 70%	3
	Driven by FX projection	No	↓ 4%	↑ 9%	↑ 3%	↓ 4%	↓ 6%	↓ 4%	
VN	SLS P&L	No	↑ 2%	↑ 3%	↑ 36%	↑ 3%	↑ 13%	↑ 46%	
	Driven by CB ADO	No	↓ 2%	↓ 10%	↓ 2%	↓ 12%	↑ 2%	↓ 5%	
	Driven by SLS Outbound Ratio to ADO	No	↑ 2%	↑ 0%	↑ 4%	↑ 2%	↑ 3%	↑ 13%	
	Driven by SLS FX neutral UE projection	Yes	↑ 2%	↑ 9%	↑ 31%	↑ 20%	↑ 13%	↑ 40%	3
	Driven by FX projection	No	↑ 2%	↑ 4%	↑ 3%	↓ 7%	↓ 5%	↓ 2%	
PH	SLS P&L	Yes	↑ 16%	↑ 46%	↑ 55%	↑ 34%	↑ 22%	↑ 19%	
	Driven by CB ADO	Yes	↑ 36%	↑ 22%	↑ 22%	↑ 27%	↑ 20%	↑ 8%	4
	Driven by SLS Outbound Ratio to ADO	No	↓ 5%	↓ 4%	↑ 1%	↓ 5%	↓ 0%	↓ 4%	
	Driven by SLS FX neutral UE projection	Yes	↓ 16%	↑ 15%	↑ 31%	↑ 24%	↑ 15%	↑ 11%	4
	Driven by FX projection	No	↑ 1%	↑ 13%	↑ 1%	↓ 12%	↓ 13%	↑ 3%	

Key Highlights

[MP Revenue]

Overall inaccuracies trend towards underprojection, mostly driven by both Platform and CB toplines

1. **SG/MY:** Platform/CB GMV accuracy improving over the L6M
2. **TH:** Platform GMV improving, but still slightly above threshold
3. **TW/PH:** CB GMV consistently underproject, re-adjusted in Feb budget

[SLS]

Overall P&L accuracy over L3M seeing a smaller gap (+10% in Jan/Dec vs. +17% in Nov)

1. **SG:** Underprojection trend for CB ADO; while UE projections improving
2. **MY/TH:** Underprojection trend for CB ADO, but seeing improvements
3. **TW/VN:** UE underprojection trend
4. **PH:** CB ADO and UE underprojection >20%

B. [LATAM] L6M CB Scorecard Accuracy | ..'Cont from previous slide, with BR/CO/CL seeing an improvement for Jan'25 projections for both MP and SLS (2/2)

Table 1: Last 6M CB **MP Revenue** by function accuracy performance

BU	Components	Above Threshold	% vs. Budget						
			Aug'24	Sep'24	Oct'24	Nov'24	Dec'24	Jan'25	
BR	CB Revenue	Yes	↓ 26%	↓ 11%	↓ 13%	↓ 16%	↓ 28%	↑ 9%	1
	Driven by Platform GMV	No	↓ 3%	↑ 2%	↑ 9%	↑ 6%	↓ 5%	↓ 1%	
	Driven by CB GMV	Yes	↑ 4%	↑ 4%	↓ 5%	↓ 17%	↓ 19%	↑ 22%	
	Driven by Ads	Yes	↓ 24%	↓ 11%	↓ 14%	↓ 8%	↓ 7%	↑ 1%	
	Others (G2N, NCB)	No	↓ 2%	↓ 6%	↓ 3%	↑ 3%	↑ 3%	↓ 13%	
MX	CB Revenue	Yes	↓ 13%	↓ 0%	↑ 12%	↑ 35%	↑ 28%	↓ 20%	2
	Driven by Platform GMV	Yes	↓ 5%	↑ 4%	↑ 20%	↑ 32%	↑ 23%	↓ 15%	
	Driven by CB GMV	No	↓ 0%	↓ 1%	↑ 0%	↑ 0%	↑ 0%	↓ 0%	
	Driven by Ads	No	↓ 5%	↓ 4%	↓ 1%	↓ 1%	↓ 1%	↑ 1%	
	Others (G2N, NCB)	No	↓ 3%	↑ 1%	↓ 7%	↑ 3%	↑ 5%	↓ 5%	
CO	CB Revenue	Yes	↓ 18%	↓ 13%	↓ 3%	↑ 6%	↑ 19%	↓ 7%	
	Driven by Platform GMV	Yes	↓ 6%	↓ 14%	↑ 2%	↑ 14%	↑ 13%	↓ 11%	
	Driven by CB GMV	No	↓ 0%	↓ 1%	↑ 1%	↑ 3%	↑ 0%	↑ 0%	
	Driven by Ads	No	↓ 11%	↓ 2%	↓ 6%	↓ 7%	↓ 1%	↑ 2%	
	Others (G2N, NCB)	No	↓ 1%	↑ 3%	↓ 1%	↓ 3%	↑ 6%	↑ 2%	
CL	CB Revenue	Yes	↓ 7%	↓ 0%	↑ 6%	↑ 19%	↑ 33%	↑ 11%	
	Driven by Platform GMV	Yes	↑ 2%	↑ 4%	↑ 6%	↑ 15%	↑ 29%	↑ 10%	
	Driven by CB GMV	No	↓ 1%	↓ 0%	↓ 0%	↓ 0%	↑ 0%	↑ 0%	
	Driven by Ads	No	↓ 5%	↓ 1%	↑ 1%	↓ 0%	↓ 1%	↑ 3%	
	Others (G2N, NCB)	No	↓ 3%	↓ 3%	↓ 1%	↑ 5%	↑ 5%	↓ 2%	

Table 2: Last 6M CB **SLS P&L** by function accuracy performance

BU	Components	Above Threshold	% vs. Budget						
			Aug'24	Sep'24	Oct'24	Nov'24	Dec'24	Jan'25	
BR	SLS P&L	Yes	↑ 116%	↑ 124%	↑ 75%	↑ 31%	↓ 16%	↑ 3%	1
	Driven by CB ADO	Yes	↓ 31%	↓ 22%	↓ 9%	↓ 7%	↓ 5%	↑ 18%	
	Driven by SLS Outbound Ratio to ADO	Yes	↓ 8%	↓ 11%	↓ 7%	↓ 2%	↑ 4%	↓ 22%	
	Driven by SLS FX neutral UE projection	Yes	↑ 189%	↑ 182%	↑ 94%	↑ 61%	↑ 10%	↑ 13%	2
	Driven by FX projection	Yes	↓ 32%	↓ 26%	↓ 3%	↓ 23%	↓ 26%	↓ 7%	
MX	SLS P&L	Yes	↑ 7%	↓ 17%	↑ 27%	↑ 8%	↑ 0%	↓ 33%	
	Driven by CB ADO	Yes	↓ 15%	↓ 15%	↑ 15%	↑ 19%	↑ 7%	↓ 38%	
	Driven by SLS Outbound Ratio to ADO	No	↑ 12%	↓ 4%	↓ 8%	↓ 13%	↑ 1%	↑ 2%	
	Driven by SLS FX neutral UE projection	Yes	↑ 15%	↑ 16%	↑ 13%	↑ 7%	↓ 0%	↑ 7%	
	Driven by FX projection	No	↓ 5%	↓ 14%	↑ 7%	↓ 4%	↓ 7%	↓ 3%	
CO	SLS P&L	No	↑ 8%	↓ 3%	↑ 0%	↓ 4%	↑ 48%	↓ 12%	3
	Driven by CB ADO	Yes	↑ 41%	↓ 19%	↓ 14%	↑ 4,801%	↑ 8%	↓ 19%	
	Driven by SLS Outbound Ratio to ADO	No	↓ 51%	↓ 1%	↓ 5%	↓ 4,820%	↑ 35%	↑ 0%	
	Driven by SLS FX neutral UE projection	Yes	↑ 11%	↑ 20%	↑ 14%	↑ 24%	↑ 19%	↑ 6%	
	Driven by FX projection	Yes	↑ 6%	↓ 3%	↑ 6%	↓ 10%	↓ 15%	↑ 0%	
CL	SLS P&L	Yes	↓ 5%	↑ 12%	↑ 17%	↑ 15%	↑ 37%	↓ 1%	3
	Driven by CB ADO	Yes	↓ 7%	↓ 6%	↓ 3%	↑ 8%	↑ 33%	↑ 26%	
	Driven by SLS Outbound Ratio to ADO	Yes	↓ 2%	↓ 6%	↑ 0%	↓ 7%	↑ 22%	↓ 29%	
	Driven by SLS FX neutral UE projection	Yes	↑ 1%	↑ 13%	↑ 15%	↑ 18%	↑ 0%	↑ 8%	
	Driven by FX projection	No	↑ 2%	↑ 11%	↑ 4%	↓ 4%	↓ 19%	↓ 6%	

Key Highlights:

[MP Revenue]: Inaccuracies primarily driven by topline fluctuations, with notable Jan'25 G2N projection errors stemming from payment channel changes (BR)

1. **BR:** Nov & Dec'24 driven by Choice topline and ads investment behind target due to Seller P&L budget control.
   - Improvement in Jan'25, but still above threshold mainly due to payment channel change impact and relatively lower ADO% projection
2. **MX:** Jan'25 topline behind target as the 19% import tax was not accounted for

[SLS P&L]: P&L projection accuracy improved QoQ, and BR P&L gap reduced from +116% to +3%

1. **BR Topline:** Driven from both ADO fluctuations (e.g. payment channel change) and G2N + Outbound ratio swings (Outbound order fluctuations from Black Friday + CNY)
2. **BR UE:** CB noticed consistent overperformance trend, worked with SLS each cycle to reduce any foreseen overly conservative projections
3. **CO/CL:** Larger fluctuations in Dec'24 mainly from toplines, but absolute P&L gap ~100K each

C. [Weekly Projection Accuracy]: CB EOM projections in W4 vs. Actuals still have room for improvement, CB FP&A to work on more initiatives to improve EOM projection accuracy

Jan 2025 EOM Projection Accuracy		SG	MY	TH	TW	VN	PH	BR	MX	CO	CL	PIC
ADO	W4	173,919	428,242	472,036	54,998	753,609	929,966	245,183	6,528	4,279	5,847	Local FP&A
	Actuals	172,101	409,219	451,731	56,449	718,406	884,070	244,385	6,181	3,966	5,623	
	Gap vs. actuals	1%	5%	4%	-3%	5%	5%	0%	6%	8%	4%	
MP PC2	W4	5,869,689	4,628,916	-208,654	2,062,607	-857,869	212,439	-4,054,536	-161,507	7,188	156,319	
	Actuals	5,764,772	4,354,859	-1,431,776	2,204,481	-1,525,056	1,476,679	-4,733,394	-164,172	15,567	141,924	
	Gap vs. actuals	2%	6%	85%	-6%	44%	-86%	14%	2%	-54%	10%	
SLS	W4	1,917,719	4,014,742	2,855,546	621,146	4,058,761	8,182,331	4,759,051	445,641	160,995	324,568	CB FP&A
	Actuals	1,871,347	3,293,505	2,635,745	660,230	4,033,777	6,542,745	4,331,052	361,273	133,349	272,115	
	Gap vs. actuals	2%	22%	8%	-6%	1%	25%	10%	23%	21%	19%	
Choice P&L	W4	-117,451	-713,707	-605,841	-625	-491,503	-706,408	466,271	1,235	1,842	865	Choice FP&A
	Actuals	-72,573	-647,725	-663,116	5,875	-462,283	-707,506	579,565	1,096	1,336	858	
	Gap vs. actuals	-62%	-10%	9%	-111%	-6%	0%	-20%	13%	38%	1%	

Note: W4 projections as of 23rd Jan

Key Highlights

- **MP PC2:** Gap mainly driven from take rate and CIR fluctuations
  - **TH:** Likely double counted logistics revenue during projection, to confirm with PIC
  - **VN:** Increase FSV for CNY period; **PH:** Growing ADO for lower ASP categories (e.g. mobile accessories); **BR:** Choice ASP decreased from CSPU and increased item rebate for Lovito Local product cleaning
- **SLS P&L:** Gap mainly driven from Outbound Order Projection (based on Jan's budget pacing), PPO projection vs. actuals <5% for all regions
- **Choice P&L:** Absolute gap for each country less than 50K

Next Steps

- CB FP&A to build weekly projection tracking dashboard
- Request for daily projections, flag out early if daily trend is highly inaccurate
- CB BI to build internal projections as sense check

Agenda

- **CB Performance update**
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FY2024 CB Foregone Revenue: ~10mil total true foregone revenue(excl. intercompany), a 15% of CB EBITDA

Table: CB FY2024 Foregone Revenue overview

SN	BU	Foregone Revenue Details	Type	Business Impact			Review Process	
				FY24 $	% of BU revenue	% of CB EBITDA	Review Frequency	Approval Chain
1	MP Rev	Regional Initiatives (Apply to both CB and local)	True Foregone	894k	0.1%	1.4%	Monthly	Ian/JH/Ctry Heads
2		CB Category Incentives	True Foregone	3,238k	0.3%	5.0%		
3		CB Strategic Seller Programs	True Foregone	4,209k	0.4%	6.4%		
4		FBS Incentives	True Foregone	164k	0.0%	0.3%		
5		Incubation sellers Incentives	True Foregone	1,151k	0.1%	1.8%		
6		Choice Incentive	InterCompany	1,483k	0.1%	2.3%	TBD	Ian
		MP revenue Sum	**All**	11,139k	1.1%	17.1%		
7	SLS Rev	Seller Direct Discount - Lovito/SCS	InterCompany	87,012k	5.9%	133%	Quarterly	Ian/JH
		SLS Revenu Sum	**All**	87,012k	5.9%	133%		
8	WH Rev	Choice Storage Fee Waiving	InterCompany	1,228k	6.9%	1.9%	Adhoc	Ian/JH/Ctry Heads
9		VIP Sellers	True Foregone	16k	0.1%	0.0%		
		Warehouse Revenue Sum	**All**	1,243k	7.0%	1.9%		
		MP+ SLS + WH Revenue Sum	**InterCompany**	89,723k		137%		
		MP+ SLS + WH Revenue Sum	**True Foregone**	**9,671k**		**15%**		
		MP+ SLS + WH Revenue Sum	**All**	99,394k		152%		

To Confirm: to Ian/Jianghong

- **Above frequency and approval chain aligned? For new ones, Ian/JH/ Ctry head; for recurring, Shunning/JH; for update, monthly in this meeting**
- **For WH Rev, given amount small now, suggest to monitor and if increase to >100K, to move to monthly approval process for VIP sellers**

A. MP Commission Waiving | $11mil commission waived in FY24 (1% of CB MP Revenue); 2025 est. true foregone revenue at 10mil, Choice is given similar discount rate of 2% as other waiving sellers

Table1: FY2024/25 CB Commission Waiving Summary

Discontinue in 2025

S/N	Programs			Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	2024(A)	2025(E) *
1	Regional Initiatives (Apply to both CB and local)	Fast Shipping Program	TH/PH	-	-	-	-	68k	85k	44k	73k	86k	88k	143k	216k	804k	1,453k
		Regional Strategic Seller Program	VN/TW	-	-	-	-	-	-	-	-	3k	27k	24k	37k	90k	494k
2	CB Category Incentives	CNCB - Mobile Category	ALL	174k	128k	165k	223k	263k	226k	229k	289k	197k	190k	338k	296k	2,717k	3,981k
		HKCB - EL	ALL	43k	41k	53k	39k	49k	45k	44k	27k	19k	17k	22k	22k	419k	291k
		HKCB - Collectibles	MY/TH/PH	6k	8k	9k	4k	9k	8k	7k	6k	4k	9k	14k	11k	94k	146k
		KRCB - top beauty shops	SG	-	-	-	-	-	-	-	-	-	-	2k	5k	7k	62k
		CNCB - Mobile Tablet Category	MX	-	-	-	-	-	0k	0k	0k	0k	0k	0k	-	1k	-
3	CB Strategic Seller Programs	Strategic brands	VN	-	-	-	91k	108k	104k	107k	109k	125k	111k	138k	143k	1,036k	1,922k
		CNCB - UST KK	VN	1,212k	-	0k	223k	835k	804k	-	-	-	-	-	-	3,074k	-
		CNCB - Peak Season Incentive	VN	77k	22k	-	-	-	-	-	-	-	-	-	-	100k	-
4	FBS Incentives	FBS Boosting Program	VN	-	-	-	-	-	-	-	10k	26k	25k	36k	32k	129k	435k
		FBS new shop boosting	SG	-	-	-	-	-	-	-	-	-	-	11k	11k	22k	142k
		FBS new shop boosting	MY	-	-	-	-	-	-	-	-	-	-	5k	8k	13k	114k
5	Incubation sellers Incentives	KRJPHK Incubation	ALL	25k	25k	23k	29k	34k	55k	62k	41k	45k	61k	94k	107k	601k	920k
		CNCB - MKT New seller boosting program	ALL	-	-	-	-	51k	137k	169k	192k	-	-	-	-	550k	-
			(A) Ture Foregone	1,536k	225k	249k	609k	1,417k	1,463k	662k	747k	504k	529k	827k	887k	9,656k	9,960k
6	Choice Incentive	PHCB Lovito (0%)	PH	262k	228k	285k	349k	359k	-	-	-	-	-	-	-	1,483k	-
		2% Comms discount **	ALL	-	-	-	-	-	-	-	-	-	-	-	-	-	6,154k
			(B) InterCompany	262k	228k	285k	349k	359k	0k	0k	0k	0k	0k	0k	0k	1,483k	6,154k
			(A+B) Total Foregone MP Revenue	1,799k	454k	534k	958k	1,776k	1,463k	662k	747k	504k	529k	827k	887k	11,139k	16,114k
			% of CB MP Revenue	2%	1%	1%	1%	2%	2%	1%	1%	1%	1%	1%	1%	1.1%	1.3%

Table2: Choice Commission Charge Summary

	3P SLS Orders	FBS Orders		
		Now	Short-term	Long-term
System Set up	3P SLS Rate	3P SLS Rate	3P SLS Rate	FBS Rate
Mgt Reporting	3P SLS Rate - 2%	3P SLS Rate - 2%	FBS Rate - 2%	FBS Rate - 2%

Commission waiving (foregone rev) calculated using 3P SLS charge rate for each market
** 2025 estimation assuming (waived comms / toal CB mandatory comms)% to be the same as 2024*
*** Choice 2% discount impact est. based on topline submitted in Feb'25 cycle*
**** based on Choice - FBS ADG submitted in Feb'25 cycle and assuming to start from Mar'25*

Key Highlights

1. FY2024: tatal **11mil** commission waived, **1%** of CB MP Rev
2. FY2025: est. foregone revenue at **16mil**, 1.3% of CB MP Revenue: ture foregone at 10.0mil, intercompany 2% discount to Choice at 6.1mil

Choice commission charge alignment

3. 2% discount (started from Jan'25): 2025 impact est. at **6.1mil**
4. **To apply FBS rate to Choice FBS orders**: Est impact: FY2025 seller P&L to be better by **~1.8m** *(assuming start from Mar'25)*
   - ***Short-term:*** BI to change reporting script directly based on FBS commission rule names (need manual monitor of rule name change), ETA: Mar
   - ***Long-term [System solution]***: charge Choice FBS orders by FBS rate in system, which is also required by Reg FP&A, ETA: late Q2 per initial check

Process Reinstate:

- For any new commission waiving, we will need Ian/JH/ Country heads email approval by providing targets for ADO/ADGMV/PC2/Ops Metrics
- For recurring commission waiving, we will need Shuning/JH's approval, and update targets RR

B. SLS Forgone ASF - Total of $87mil ASF discount to Lovito and SCS standalone P&L and lower profit margin to NNWH to boost orders

Type 1: Apply a % discount on standard rate (i.e Lovito and SCS)

Unit: Million		SG	MY	TH	TW	VN	PH	BR	MX	CO	CL	Total
FY24	Lovito	0.8	2.1	1.5	0.0	0.1	6.5	16.5	0.1	0.1	0.0	27.6
	SCS	1.3	3.7	5.0	0.0	4.7	6.3	38.2	0.1	-	-	59.4
	Total	2.1	5.8	6.5	0.0	4.8	12.8	54.7	0.2	0.1	0.0	87.0
FY25	Lovito	0.5	1.8	1.7	0.0	0.6	4.0	5.4	0.0	0.0	0.0	14.2
	SCS	1.6	5.2	9.2	0.3	5.4	9.2	21.4	0.1	-	-	52.3
	Total	2.1	7.0	10.9	0.3	6.0	13.2	26.9	0.1	0.0	0.0	66.5

Type 2: ASF has a different structure (i.e NNWH)

	TH				VN			
Weight/g	**NNWH**	**STD**	**Gap**	**Gap**	**NNWH**	**STD**	**Gap**	**Gap**
g	*THB*	*THB*	*THB*	*USD*	*VND*	*VND*	*VND*	*USD*
10	23	24	-1	-0.03	10,800	15,900	-5,100	-0.2
50	24	28	-4	-0.1	14,000	19,500	-5,500	-0.2
100	25	33	-8	-0.2	18,000	24,000	-6,000	-0.2
200	28	43	-15	-0.4	26,000	33,000	-7,000	-0.3
300	31	53	-22	-0.7	34,000	42,000	-8,000	-0.3
400	34	63	-29	-0.9	36,040	51,000	-14,960	-0.6
500	37	73	-36	-1.1	38,080	60,000	-21,920	-0.9

Key highlights:

Currently SLS Foregone Revenue mainly splits to two 1) direct discount 2) rate card adjustment

For Type 1: direct discount to sellers

- Currently only have Lovito/SCS being charged at similar rate to true cost, at a 38% discount to Lovito and SCS in FY24
- FY24 transfer ~$87mil revenue to standalone PnL

For Type 2: rate card adjustments

- NNWH has a lower ASF rate (~28% discount rate vs standard channel as 1) LH cost is lower than standard channel, mainly due to NanNing's closer proximity to TH and VN markets, 2) a lower profit margin, 10% vs 30% standard
- Besides, Latam heavy rate card has different rate structure vs standard, in which heavy rate card is rebalance between light and heavy weight tiers

C. Warehouse Forgone Revenue - total of $1.2M warehouse storage and handling fee discounts were given to boost ADO of Choice LFF and warehouse VIP sellers in FY24

Table: FY2024 Warehouse Foregone Revenue Summary

Fee with discount

		PH			TH			MY			MY-SG			Total
		Normal	*Discounted*	*Disc. $*	*Normal*	*Discounted*	*Disc. $*	*Normal*	*Discounted*	*Disc. $*	*Normal*	*Discounted*	*Disc. $*	*Disc. $*
SCS	**Total RPO**	**0.43**	**0.24**	**-0.19**	**0.38**	**0.30**	**-0.08**	**0.46**	**0.27**	**-0.20**	**0.46**	**0.26**	**-0.20**	
	Storage fee RPO	0.10	-	-0.10	0.08	-	-0.08	0.15	-	-0.15	0.15	-	-0.15	
	Handling fee RPO	0.34	0.24	-0.10	0.30	0.30	-	0.31	0.27	-0.05	0.31	0.26	-0.05	
	FY24 Total Foregone Rev			**-541,313**			**-63,256**			**-322,383**			**-54,362**	**-981,314**
Lovito	**Total RPO**	**0.50**	**0.29**	**-0.20**	**0.42**	**0.33**	**-0.09**	**0.51**	**0.34**	**-0.18**	**0.52**	**0.34**	**-0.18**	
	Storage fee RPO	0.08	-	-0.08	0.09	-	-0.09	0.16	-	-0.16	0.17	-	-0.17	
	Handling fee RPO	0.42	0.29	-0.13	0.33	0.33	-	0.35	0.34	-0.01	0.36	0.34	-0.02	
	FY24 Total Foregone Rev			**-181,952**			**-15,214**			**-45,872**			**-3,154**	**-246,191**
VIP Sellers	**Total RPO**	NA			NA			**0.47**	**0.41**	**-0.06**	NA			
	Storage fee RPO							0.17	0.15	-0.02				
	Handling fee RPO							0.30	0.26	-0.04				
	FY24 Total Foregone Rev									**-15,813**				**-15,813**
Total				**-723,265**			**-78,470**			**-384,067**			**-57,515**	**-1,243,318**

Key Highlights

Total FY2024 1.2mil foregone revenue, 7% of warehouse revenue (17.9mil) , 64% of warehouse PnL (-1.9mil)

- **PH:** Total forgone revenue of $723K (PH CB SBS FY24 P&L still at +$52K profit). As at Dec'24, Choice makes up 33.4% of PH CB SBS ADO. Choice is given 100% storage fee waiver, and discounted handling fee rates for all item size tiers (XS to XL).
- **TH:** Total forgone revenue of $78K. Choice RPO is able to cover CPO at a P&L profit. As at Dec'24, Choice makes up 32.8% of TH CB SBS ADO. Choice is given 100% storage fee waiver, but handling fee is not discounted.
- **MY:** Total forgone revenue of $384K. As at Dec'24, MP SCS and LVT P&L are all breaking even. Choice makes up 24.4% and VIP sellers 3.1% of MY CB SBS ADO. Choice is given 100% storage fee waiver, and discounted handling fee rates for X-Small and Small orders only. More discounts will be given to VIP sellers in FY25 to convert 3PF/SLS sellers.
- **MY-SG:** Total forgone revenue of $57K. As at Dec'24, SCS and LVT P&L are near breakeven. Choice makes up 60.6% of MY-SG CB SBS ADO.

Agenda

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  - Choice P&L: breakeven risk with platform fees increase
  - Warehouse P&L debrief on budgeting

MP: Mall Base Commission Charge Proposal | Suggest only TH to adjust up Mall commission per last communication, BR to keep current rate despite lower than local per competitor

Table 1: Base Commission Effective Charge Rate by Seller Type (as of Jan'25)

Mkt	Mall					Non Mall				
	CB 3P	CB FBS	CB 3PF	Local	CB 3P vs Local	CB 3P	CB FBS	CB 3PF	Local	CB 3P vs Local
SG	13.0%	8.7%	9.0%	7.9%	5.1%	13.0%	8.6%	9.0%	4.7%	8.3%
MY	14.0%	10.0%	11.0%	7.0%	7.0%	14.0%	9.6%	11.0%	6.5%	7.5%
TH	6.1%	3.0%	3.9%	6.7%	-0.6%	6.4%	1.2%	2.4%	6.4%	0.0%
TW	5.5%	-	-	6.2%	-0.6%	6.6%	-	-	5.3%	1.4%
VN	5.8%	3.7%	5.5%	4.5%	1.2%	5.9%	3.1%	3.5%	3.5%	2.4%
PH	5.8%	5.3%	8.4%	6.8%	-1.0%	9.0%	5.4%	7.2%	7.1%	1.9%
BR	9.8%	-	13.0%	15.1%	-5.3%	9.7%	-	19.6%	24.1%	-14.4%

Table 2: Base Commission Nominal Charge Rate by Seller Type (as of Jan'25)

Mkt	Mall				Non Mall			
	CB 3P	CB FBS	CB 3PF	Local	CB 3P	CB FBS	CB 3PF	Local
SG	13.0%	9.0%	9.0%	8% - 10%	13.0%	9.0%	9.0%	5%
MY	14.0%	10.0%	11.0%	6% - 16%	14.0%	10.0%	11.0%	7% - 11%
TH	8.0%	5.0%	6.0%	EL: 5% - 11% Non-EL: 10.5% - 11%	8.0%	3.0%	4.0%	EL: 5% - 8% Non-EL: 7.5% - 9%
TW	6.7%	-	-	6.7%	6.7%	-	-	6.7%
VN	6.0%	4.5%	0% -7.5%	1% - 6%	6.0%	2.7%	3.6%	EL: 1% - 3% Non-EL: 4%
PH	9.0%	4% - 7%	8% - 11%	5.5% - 10%	9.0%	4.6%	7.8%	6.5% - 7.8%
BR	9.8%	-	12% + 4BRL/item	12% + 4BRL/item	9.8%	-	11.8%	12% + 4BRL/item

** TH: CB showing non-program sellers rate before proposed changes, local show the rate after increase as of Jan 20*

Key Highlights:

- **Context:** THCB mgmt meeting mention to increase 3% commission to Mall sellers, and we replicate the study to other mkts **(no system limitation to differentiate the charge bet mall vs non-mall)**
- **CB 3P vs Local:** CB is **higher/same than local** in most regions, except for **TH and BR**
  - **[TH]** local +1% starting from Jan 20, and CB +3% from Apr (higher than local after inc.)
  - **[BR]:** mall -5% vs local, -14% lower
    - Vs competitors: total charges higher than our main competitors (+ 5.4% vs AE, +2.7% vs MELI) if adding FSS (FSS ADG coverage ~72%)
    - Did not follow local to increase fee by 2% in Jul'24 due to tax happened in Aug
  - **[TW mall]** Charge rate the same vs local, effective rate is -0.6% due to up to 2% discount given to Reg SSP program
  - **[PH mall]** -1.0% vs local mainly due to special comms given to Xiaomi (2.8%)

To confirm and Discuss:

1) TH: given the increase has been signed off by all stakeholders and seller comms scheduled on Feb 14, to continue +3% vs current, afterwards to be same as local highest category charge

2) BR: to continue existing charge to be competitive vs competitor despite lower than local charge rate

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SLS P&L-TH Tax Cost | will triple from Feb'25 per linehaul vendor tax quotation, FY25 estimated net tax loss -$12mil which has to book in SLS PnL per SeaFin request

Table 1: TH SLS P&L H2'24 and FY'25

Month	Q3 24	Q4 24	FY24	Q1 25	Q2 25	Q3 25	Q4 25	FY25
SLS Profit (before tax adj.)	5.0m	10.6m	34.9m	8.7m	8.3m	8.3m	7.6m	32.9m
(+) Tax Revenue	9.4m	11.2m	20.6m	10.7m	10.8m	11.2m	11.1m	43.8m
(-) Tax Cost	4.5m	8.7m	13.3m	12.9m	14.5m	14.6m	14.6m	56.7m
(=) Net Tax Income	4.9m	2.4m	**7.3m**	(2.3m)	**(3.4m)**	(3.4m)	(3.1m)	**(12.2m)**
SLS Profit (post tax adj.)	14.4m	13.1m	46.8m	6.4m	4.9m	4.9m	4.5m	20.6m

Incremental LH cost/kg	0.95	0.99-1.77	-	1.77-2.69	2.69	2.69	2.69	-

**Q3 24 SLS actual includes tax cost, so the gap before and after tax for Q3 24 is tax rev*
**LH cost/kg increase from $0.99 (Oct '24) to $1.77 (Dec '24) and $2.69 (Feb '25)*

Key Highlights:

- Starting from Jul'24 TH starts to charge 7% import tax, back then our LH vendors rate increase is less than the import tax charged till Oct'24, resulting in **+1.5mil/month** PnL
- However, LH vendor doubled the quotation in Nov'24 ($1.60/kg) and Dec'24 ($1.77/kg) and will further increase the rate in Feb '25 ($2.69/kg)
  - resulting in **-1mil/month** PnL
  - Seafin requested to book net tax loss into SLS PnL

Next step: (to work with SLS team)

Booking Perspective:
- Net tax surplus: continue book under escrow amount as required by tax team
- Net tax loss: book back to SLS P&L
- FY24 tax surplus ~$7mil, pending tax team to advise when and how it can be released to SLS P&L

Ops Perspective:
- Short term: continue with current CC practice and closely monitor rate fluctuations
- Long term: Options under develop
  - **Option 1:** To switch to White CC, SLS team to confirm white CC rate and feasibility
  - **Option 2**: Continue with current grey CC, but increase ASF rate to cover net tax loss

SLS P&L-BR Tax undercollection | Shopee was collected additional tax due to 1) Fine from undervaluation, 2) delayed tax declaration and 3) Incorrect amt charged by Correios/IRS. 1) largely mitigated, 2) and 3) ongoing

Table: Tax collection gap by root cause by Month (USD)

S/N	Gap explanation	Jun-24	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Total	Contri.
1	Penalty fee issued by IRS due to suspected under-valuation from Shopee	$7,955	$1,909	$117,613	$287,588	$136,898	$138,386	$29,426	$719,775	40%
2	PRC not declared in advance leading to all orders being charged with 60% import tax	$27,117	$207,564	$207,403	$3,572	$20	$2,647	$163	$448,486	25%
3	Correios/IRS overcharged Shopee with no clear reasoning, investigation ongoing	$12,030	$310,396	$228,333	$31,167	$17,118	$35,136	$20,320	$654,500	36%
4	Others	$1,818	$3,621	-$6,903	-$6,855	-$3,424	-$3,820	-$2,481	-$18,045	-1%
	Total Tax Loss	**$94,364**	**$568,963**	**$591,951**	**$361,007**	**$196,179**	**$217,946**	**$93,055**	**$1,804,716**	**100%**

*Import tax revision effective

Background:

- Previous BR import tax scheme includes 2 types: **ICMS of 17%** applicable for **all imported goods** and **import tax of 60%** for imported goods with **GMV > $50**, and a **revision** was recently implemented by BR government from **Aug/2024 onwards** to **add an import tax of 20%** for imported goods with **GMV < $50**
- **Observed a ~500K reconciliation gap vs SeaFin in tax components**

Key Highlights:

1 **[Done] Under declare Value**: Corrected Tax declaration value split logic which might lead to suspicion for under-declaration from IRS. Amount has largely decreased and will continuously monitor

- 2 **[WIP] PRC declaration delay** - BR Fin
  - 77% due to Correios delay: under discussion to compensate by Correios to Shopee
  - 23% due to Shopee delay, out of which 86% of them are actually due to a Correios system bug which we raised to them in July

- 3 **[WIP] Unclear overcharge reasons** - BR Fin: Investigation with Correios and IRS ongoing, ETA for primary conclusion is 14/Feb

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- **Key Initiatives Updates**
  - CB P&L Projection Accuracy Improvement Initiatives
  - All BU: Shopee CB Foregone Revenue Summary
  - Marketplace P&L: Mall commission charge rate review and proposal
  - SLS P&L: Alert on TH tax cost occuring and BR tax cost overcharge
  - Choice P&L: breakeven risk with platform fees increase
  - Warehouse P&L debrief on budgeting

Choice FY25 P&L | Challenging breakeven(discounted) target with ~3mil additional cost from MY/TH/TW platform charge increase despite LFF to charge at FBS rate per MP sellers

Table: FY25 P&L - Feb'25 budget cycle (after adjustment of upcoming New policies)

Budget adjustment	mkts	Lovito					SCS					Choice				
		Q1'25	Q2'25	Q3'25	Q4'25	FY25	Q1'25	Q2'25	Q3'25	Q4'25	FY25	Q1'25	Q2'25	Q3'25	Q4'25	FY25
Standalone P&L		-2.31m	-0.58m	1.41m	1.49m	0.01m	-5.35m	0.09m	2.68m	2.61m	0.02m	-7.66m	-0.50m	4.08m	4.10m	0.03m
(+) Add back (P&L improvement) :		0.01m	0.04m	0.04m	0.04m	0.12m	0.07m	0.45m	0.57m	0.57m	1.66m	0.07m	0.49m	0.61m	0.61m	1.78m
LFF Charge Rate for LFF orders	PH etc.	0.01m	0.04m	0.04m	0.04m	0.12m	0.07m	0.45m	0.57m	0.57m	1.66m	0.07m	0.49m	0.61m	0.61m	1.78m
(-) Dedect (P&L worsen) :		-0.04m	-0.17m	-0.20m	-0.21m	-0.62m	-0.15m	-0.60m	-0.76m	-0.81m	-2.32m	-0.19m	-0.78m	-0.96m	-1.01m	-2.94m
Fees increase:																
+1% base comm charge rate **(known)**	MY	-	-0.04m	-0.05m	-0.05m	-0.14m	-	-0.11m	-0.14m	-0.15m	-0.40m	-	-0.15m	-0.19m	-0.20m	-0.54m
+3% base comm charge rate **(new)**	TH	-0.04m	-0.13m	-0.15m	-0.16m	-0.48m	-0.15m	-0.48m	-0.61m	-0.65m	-1.90m	-0.19m	-0.62m	-0.76m	-0.81m	-2.38m
+ 0.95% extra comm charge rate increase **(new)**	TW	-	-0.00m	-0.00m	-0.00m	-0.00m	-	-0.01m	-0.01m	-0.01m	-0.02m	-	-0.01m	-0.01m	-0.01m	-0.02m
Enrolment in FSS program:																
+1% extra comm charge rate (FSV0 program) **(known)**	MY	-	-0.04m	-0.05m	-0.05m	-0.14m	-	-0.11m	-0.14m	-0.15m	-0.40m	-	-0.15m	-0.19m	-0.20m	-0.54m
Expected Standalone P&L without other improvements		-2.34m	-0.72m	1.25m	1.33m	-0.49m	-5.43m	-0.06m	2.49m	2.37m	-0.63m	-7.78m	-0.78m	3.73m	3.70m	-1.13m

Key Highlights

Choice FY25 P&L is expected to be worsen by -1.2mil, due to the upcoming new MP charge rate change in upcoming budget cycle

(+) Choice LFF to charge from SLS rate to LFF rate: Aligned with Reg FPA to factor in the LFF charge rate in upcoming budget cycle

- **Request from Reg FPA** to reflect the LFF rates in the system, which current system is unable to do so and dev effort would be required to
- **Next step:**
  - Aligned on the solution based on manual adjustment at management reporting
  - System solution on supporting Choice shop able to charge by fulfilment type

(-) commission increase for MY/TH/TW, and FSS program fee increase in MY

Agenda

- **CB Performance update**
- **Key Initiatives Updates**
  - CB P&L Projection Accuracy Improvement Initiatives
  - All BU: Shopee CB Foregone Revenue Summary
  - Marketplace P&L: Mall commission charge rate review and proposal
  - SLS P&L: Alert on TH tax cost occuring and BR tax cost overcharge
  - Choice P&L: breakeven risk with platform fees increase
  - Warehouse P&L debrief on budgeting

Warehouse PnL: was positive for Q1'24 and but started to incur losses from Q2'24 mainly from new warehouses setup. FY25 expect to reach breakeven from Q2'25

Table: FY24 / FY25 CB SBS ADO and P&L

		Jan'24	Feb'24	Mar'24	Apr'24	May'24	Jun'24	Jul'24	Aug'24	Sep'24	Oct'24	Nov'24	Dec'24	Jan'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY24	FY25	YoY	
ADO	SG	3k	4k	5k	5k	5k	5k	6k	7k	7k	7k	8k	8k	7k	7k	8k	8k	9k	9k	10k	11k	12k	12k	13k	13k	6k	10k	▲67%	
	MY	21k	23k	28k	23k	26k	28k	31k	34k	40k	43k	46k	38k	33k	30k	41k	42k	51k	58k	60k	62k	63k	64k	68k	69k	32k	54k	▲69%	
	TH	11k	11k	11k	10k	11k	14k	17k	23k	27k	29k	41k	33k	24k	25k	29k	34k	43k	50k	52k	53k	54k	55k	57k	58k	20k	45k	▲124%	
	VN	12k	11k	10k	11k	18k	22k	28k	28k	35k	39k	56k	47k	27k	28k	35k	43k	54k	63k	68k	70k	71k	73k	76k	79k	26k	57k	▲117%	
	PH	33k	39k	35k	32k	43k	48k	52k	51k	58k	66k	76k	68k	56k	50k	63k	70k	78k	88k	96k	102k	104k	107k	118k	123k	50k	88k	▲76%	
	MX	5k	5k	5k	4k	3k	3k	3k	3k	2k	1k	-	-	-	-	-	-	-	-	-	-	-	-	-	-	3k	-	▼100%	
	Total	87k	93k	94k	84k	105k	121k	137k	144k	169k	184k	226k	196k	146k	140k	177k	198k	234k	268k	286k	299k	305k	310k	332k	342k	137k	254k	▲86%	1
P&L	SG	40k	22k	24k	27k	26k	40k	17k	(21k)	17k	75k	91k	81k	51k	53k	106k	(3k)	28k	45k	58k	89k	106k	117k	148k	170k	439k	969k	▲121%	
	MY	(23k)	(22k)	42k	(34k)	(4k)	(137k)	(31k)	(149k)	91k	(123k)	54k	48k	3k	(2k)	85k	62k	116k	139k	157k	169k	155k	180k	187k	197k	(289k)	1,448k	▲600%	
	TH	28k	24k	36k	(3k)	2k	15k	2k	16k	30k	33k	9k	(12k)	(19k)	(29k)	(9k)	(15k)	(29k)	35k	50k	64k	53k	60k	54k	51k	178k	267k	▲50%	
	VN	(22k)	(18k)	(18k)	(23k)	(17k)	(2k)	(29k)	(28k)	(6k)	7k	(26k)	(54k)	(64k)	(67k)	(53k)	(42k)	(13k)	(8k)	3k	5k	(1k)	9k	2k	13k	(237k)	(215k)	▲9%	
	PH	138k	141k	126k	33k	104k	13k	(48k)	(182k)	(60k)	(110k)	(65k)	(37k)	(242k)	(313k)	(604k)	(178k)	(79k)	11k	80k	122k	56k	168k	213k	275k	52k	(490k)	▼1,040%	
	MX	(80k)	(97k)	(126k)	(96k)	(119k)	(130k)	(142k)	(139k)	(158k)	(339k)	(570k)	(20k)	8k	8k	3k	8k	4k	6k	2k	5k	3k	12k	9k	12k	(2,018k)	81k	▲104%	
	Total	80k	49k	83k	(96k)	(8k)	(201k)	(231k)	(502k)	(86k)	(459k)	(508k)	6k	(262k)	(350k)	(472k)	(167k)	26k	227k	350k	455k	373k	546k	614k	720k	(1,875k)	2,060k	▲210%	
																									4	2	3		

Key Highlights

ADO: FY24, Apr and Dec has seen a dip due to (i) Apr CN big sellers OOS and MY Raya downtrend, (ii) Dec significant drop in SCS LFF ADO across SEA and PH CN big sellers transferring to 3PF + OOS.

1 FY25, expect to grow +86% YoY, monthly growing trend except Feb

P&L: 2 FY24, (i) MY loss due to new whs units setup cost and purchase of non-depreciable assets (e.g. shelves), (ii) VN loss as low MP rate card is unable to cover CPO with rental, (iii) PH loss with new whs setup costs + underutilisation and high trucking cost to satellite whs, (iv) MX due to very low whs utilisation and higher cost of doing business.

3 FY25, (i) MY P&L projected to be profitable as whs operations stabilise and CPO reduces with economy of scale, (ii) VN still expect to be at loss for H1 with low MP rate card, (iii) PH Q1 sees a P&L dip due to plans for new whs setup. Local Ops is reviewing whs network plan to bring down costs, (iv) MX rental income from lease of warehouse space.

4 All countries projected to reach P&L breakeven in Q4 2025.

Next Step

1. Closely monitor PH, MY, VN

Warehouse P&L - unit economics: FY25 RPO projected to be close to Dec'24 numbers. CPO expected to further optimise riding on high warehouse utilisation % momentum

Table: FY24-25 RPO/CPO across markets

		Jan'24	Feb'24	Mar'24	Apr'24	May'24	Jun'24	Jul'24	Aug'24	Sep'24	Oct'24	Nov'24	Dec'24	Jan'25	Feb'25	Mar'25	Apr'25	May'25	Jun'25	Jul'25	Aug'25	Sep'25	Oct'25	Nov'25	Dec'25	FY24	FY25	YoY
RPO	SG	1.69	1.52	1.51	1.54	1.44	1.46	1.44	1.49	1.57	1.62	1.55	1.39	1.42	1.45	1.56	1.61	1.61	1.62	1.60	1.57	1.57	1.58	1.54	1.56	1.51	1.56	3%
	MY	0.45	0.45	0.42	0.43	0.44	0.43	0.46	0.44	0.48	0.46	0.42	0.39	0.38	0.39	0.38	0.37	0.37	0.37	0.37	0.37	0.37	0.37	0.37	0.37	0.44	0.37	(15%)
	TH	0.42	0.42	0.44	0.37	0.35	0.32	0.33	0.29	0.30	0.31	0.29	0.28	0.29	0.29	0.28	0.27	0.27	0.27	0.27	0.27	0.27	0.28	0.28	0.28	0.32	0.28	(14%)
	VN	0.18	0.18	0.18	0.17	0.14	0.13	0.12	0.12	0.15	0.15	0.15	0.15	0.14	0.14	0.14	0.14	0.14	0.14	0.14	0.14	0.14	0.14	0.14	0.15	0.15	0.14	(2%)
	PH	0.53	0.49	0.49	0.46	0.46	0.41	0.36	0.38	0.39	0.39	0.36	0.33	0.34	0.34	0.34	0.33	0.33	0.32	0.33	0.33	0.33	0.33	0.33	0.33	0.41	0.33	(19%)
	MX	1.07	1.06	1.05	1.06	1.31	1.09	0.86	0.95	0.93	1.16	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1.05	-	(100%)
	Total	0.52	0.50	0.50	0.49	0.46	0.42	0.39	0.40	0.41	0.40	0.35	0.34	0.36	0.36	0.36	0.35	0.34	0.33	0.33	0.33	0.34	0.34	0.34	0.34	0.41	0.34	(18%)
CPO	SG	1.30	1.30	1.33	1.34	1.28	1.19	1.34	1.59	1.49	1.27	1.15	1.05	1.16	1.17	1.13	1.62	1.50	1.44	1.41	1.29	1.25	1.24	1.14	1.12	1.30	1.28	(1%)
	MY	0.49	0.49	0.36	0.49	0.44	0.63	0.50	0.60	0.39	0.57	0.38	0.35	0.38	0.39	0.31	0.32	0.29	0.28	0.28	0.27	0.28	0.27	0.27	0.27	0.47	0.29	(38%)
	TH	0.33	0.34	0.32	0.38	0.35	0.28	0.32	0.27	0.26	0.27	0.28	0.29	0.32	0.34	0.30	0.29	0.30	0.24	0.24	0.23	0.24	0.24	0.24	0.25	0.29	0.26	(12%)
	VN	0.25	0.25	0.25	0.26	0.17	0.13	0.16	0.16	0.15	0.14	0.17	0.19	0.23	0.24	0.20	0.18	0.15	0.15	0.14	0.14	0.14	0.14	0.14	0.14	0.18	0.16	(11%)
	PH	0.38	0.35	0.36	0.42	0.37	0.40	0.40	0.52	0.43	0.46	0.39	0.35	0.50	0.59	0.69	0.42	0.36	0.32	0.30	0.28	0.31	0.27	0.26	0.25	0.40	0.35	(14%)
	MX	1.83	2.26	2.55	2.42	3.94	3.92	3.15	3.71	5.84	39.76	-	-	-	-	-	-	-	-	-	-	-	-	-	-	4.49	-	(100%)
	Total	0.49	0.48	0.47	0.53	0.46	0.48	0.46	0.53	0.43	0.49	0.44	0.34	0.43	0.46	0.46	0.38	0.33	0.30	0.29	0.28	0.29	0.27	0.27	0.26	0.46	0.32	(31%)

Key Highlights

RPO: FY24, all markets see a drop in Dec RPO vs Jan mainly due to (1) significant drop in storage fee RPO with aging stocks clearance, (2) Choice ramp up in MY PH with discounted handling fees, (3) roll out of order level charging with lower RPO (from Apr'24, affects PH more)
FY25, projected to mirror Dec'24 RPO with leaner storage fee revenue and ~35% Choice % of total CB SBS ADO.

CPO: FY24, most markets saw improvements in CPO in Q4 vs Jan'24 mainly from manpower productivity increase and higher warehouse utilisation %. High one-off CPO mainly from higher manpower costs during public holidays (PH, TH), and new warehouse setup costs (MY).
FY25, MY TH VN CPO expected to further reduce riding on momentum of high % warehouse utilisation and stabilised warehouse operations. PH Jan-Apr CPO projected to be high due to plans for new whs setup. Local Ops is reviewing whs network plan to bring down costs.

Warehouse P&L - revenue/order: CB SBS charging rates for SEA local warehouses are slightly uncompetitive vs 3PF. To consider rate card reduction in view of projected P&L profit

Table: Charging competitiveness vs key competitors (as of Dec'24)

	PH			MY			TH			SG		
	SHP	AsiaECS	Gap	SHP	AsiaECS	Gap	SHP	AsiaECS	Gap	SHP	Jingqi	Gap
Overall RPO	0.33			0.39			0.37			1.39		
Choice RPO	0.23			0.29			0.31			-		
Non-Choice RPO	**0.36**			**0.41**			**0.40**			**1.39**		
Storage fee RPO	0.07		1	0.07		2	0.05		3	0.10		4
Handling fee RPO	0.29	0.28	0.01	0.34	0.32	0.02	0.35	0.33	0.02	1.29	0.94	0.35
XS	0.23	0.24	-0.01	0.26	0.25	0.01	0.25	0.25	0.00	0.64	0.80	-0.16
S	0.26	0.27	-0.01	0.30	0.28	0.02	0.28	0.28	0.00	0.99	0.86	0.13
M	0.39	0.36	0.03	0.38	0.37	0.01	0.36	0.35	0.01	2.54	1.11	1.43
L	1.37	0.81	0.56	1.98	1.83	0.15	1.19	0.92	0.27	3.22	1.50	1.72
XL	4.85	2.79	2.06	7.35	4.05	3.30	4.13	2.24	1.89	3.65	3.43	0.22

	TH - (NN)			VN - (NN)		
	SHP	AE 优选仓	Gap	SHP	AE 优选仓	Gap
Overall RPO	0.19			0.15		
Choice RPO	0.18			0.14		
Non-Choice RPO	**0.21**			**0.15**		
Storage fee RPO	0.02			0.01		
Handling fee RPO	0.19	0.20	-0.01	0.14	0.19	-0.05
Order weight <=50g	0.07	0.17	-0.10	0.07	0.17	-0.10
Order weight <=250g	0.14	0.20	-0.06	0.14	0.20	-0.06
Order weight <=500g	0.21	0.21	0.00	0.21	0.21	0.00
Order weight >500g	0.81	0.26	0.55	0.81	0.26	0.55

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Note: Non-Choice RPO is calculated based on order level charging rates; and excludes VIP seller rates for MY

Key Highlights

1. **PH:** Overall handling fee RPO slightly uncompetitive ~0.01 due to more expensive M tier charging
2. **MY:** Handling fee rate more expensive across XS-M tiers
3. **TH:** Overall handling fee RPO slightly uncompetitive ~0.02 due to more expensive M and L tier charging
4. **SG:** Overall handling fee RPO uncompetitive ~0.35 due to significantly more expensive S-M tiers
5. **NN:** Handling fee rates generally cheaper vs CN 3rd party whs service providers

Next Steps

- **PH:** To monitor and consider rate card reduction after P&L turns positive in Jun'25
- **MY:** Consider rate card reduction in view of P&L profit from Mar'25 onwards, with full year $1.45M profit
- **SG:** SG CB team also highlighted that CBWH rate card is more expensive vs Local rate card
- **NN:** Discussion in progress to raise prices as current rate card is unable to cover costs.

Warehouse P&L - cost/order: CPO expected to reduce across most markets in FY25 riding on manpower productivity improvements and higher warehouse utilisation

Table: warehouse CPO breakdown by mkts (Dec'25 vs Dec'24)

	CPO comparison ($ / order)																	
	Dec'24						Dec'25						YoY					
	SG	MY	TH	VN	PH	MX	SG	MY	TH	VN	PH	MX	SG	MY	TH	VN	PH	MX
FTE Staff	-	0.04	0.04	0.01	0.05	-	-	0.03	0.03	0.01	0.05	-	-	-0.01	-0.01	0.00	-0.01	-
Temp / BPO Staff	0.47	0.16	0.13	0.09	0.14	-	0.45	0.13	0.12	0.08	0.07	-	-0.02	-0.04	-0.01	-0.01	-0.07	-
Consumables	0.09	0.03	0.03	0.02	0.03	-	0.05	0.03	0.03	0.02	0.04	-	-0.04	0.00	0.00	0.00	0.00	-
Depreciation	0.07	0.00	0.02	0.02	0.01	-	0.07	0.01	0.01	0.01	0.01	-	0.00	0.01	0.00	-0.02	0.00	-
Rental	0.29	0.08	0.05	0.03	0.07	-	0.39	0.04	0.03	0.02	0.03	-	0.11	-0.03	-0.02	-0.01	-0.04	-
G&A	0.14	0.03	0.02	0.02	0.04	-	0.16	0.03	0.02	0.01	0.06	-	0.02	0.00	0.00	-0.01	0.02	-
Total CPO	**1.05**	**0.35**	**0.29**	**0.19**	**0.35**	-	**1.12**	**0.27**	**0.25**	**0.14**	**0.25**	-	**0.06**	**-0.08**	**-0.04**	**-0.05**	**-0.10**	-

	Cost contribution comparison (% of total cost)																	
	Dec'24						Dec'25						YoY					
	SG	MY	TH	VN	PH	MX	SG	MY	TH	VN	PH	MX	SG	MY	TH	VN	PH	MX
FTE Staff	-	11%	14%	6%	15%	-	-	10%	13%	5%	19%	-	-	0%	-1%	-1%	4%	-
Temp / BPO Staff	44%	47%	45%	48%	39%	-	40%	47%	51%	58%	27%	-	-4%	0%	5%	10%	-13%	-
Consumables	9%	9%	9%	9%	10%	-	4%	10%	12%	14%	15%	-	-4%	1%	2%	5%	5%	-
Depreciation	6%	1%	6%	12%	4%	-	6%	4%	6%	6%	6%	-	-1%	3%	0%	-6%	1%	-
Rental	27%	22%	17%	16%	21%	-	35%	16%	11%	13%	12%	-	8%	-6%	-6%	-3%	-9%	-
G&A	14%	9%	8%	10%	11%	-	15%	12%	8%	5%	22%	-	1%	3%	0%	-5%	11%	-
Total CPO	**100%**	**100%**	**100%**	**100%**	**100%**	-	**100%**	**100%**	**100%**	**100%**	**100%**	-	-	-	-	-	-	-

Key Highlights:

CPO $ YoY Change comparison

- **CPO in most markets expected to reduce YoY** mainly from
  - Temp / BPO Staff: improvement in direct labor productivity
  - Fixed costs: higher % warehouse utilisation as order volume ramps up
- **SG Rental and G&A CPO to increase YoY** with opening of additional warehouse in Apr'25. More space will be allocated to CB.
- **PH G&A CPO to increase YoY** with higher trucking costs, as orders fulfilled by VisMin warehouses ramp up

*>> next step: **monitor** CPI target setting by reg WH team and runrate vs target*

Cost contribution % YoY comparison

- Across most markets, Fixed cost % contribution reduces with higher warehouse utilisation
- **SG:** Fixed cost % contribution increases with addition of new warehouse
- **PH:** Variable cost % contribution decreases as projected direct labor CPO reduces significantly by ~$0.07.

Shopee

THE END